

TIME OF ENTRY

Another major decision to be made when dealing with candlesticks is to fixate on a time for entering the trade based on the candlestick formation. So, we can either enter a trade at open of a new candlestick or close of the previous one. It is very difficult to trade in between a current candlestick as we are unaware of the shape it can take.

While using a daily weekly candlestick pattern, we would suggest a trade on close i.e. just before the market closes so that we have entire data based on which we are making a decision. In case we enter the trade the next day at the opening price, we are missing out on any gaps that might be present between candles, but we are taking less overnight risks.

Also, we will not indulge in any new trade through the candle duration as it could make false moves. This means every Doji looks like a trend continuation and a reversal at some point of the day before it is converted to a Doji. Every engulfing bear looks like a gap up on open. As a result, to avoid such false moves, we will only enter and exit at the end of the candlestick duration or beginning of it. However, the final choices for the trader to make.

